Jiangxi University of Finance and Economics

EFQM Excellence Model Report

Luckin Coffee Inc.

A Technology-Driven New Retail Coffee Enterprise

IK2015: Enterprise Architecture and Database Programming

Seminar 3

Group 4

Zhe-Kai Yang (Krust), Shi-Hang Chen (Sean), Wei-Yu Cai (Nosta),

Huan-Wen Chen (Evan), Yuan-Yong Liao (Foreve)

June 3, 2026

1 EFQM Quality Management Approach

The EFQM Excellence Model provides a comprehensive framework for assessing organisational performance across nine criteria: five ‘Enablers’ (what an organisation does) and four ‘Results’ (what it achieves). This section applies these criteria to Luckin Coffee’s technology-driven operations.

1.1 Enablers

1. Leadership

What is Leadership?

At Luckin Coffee, leadership is embodied by the executive management team, notably CEO Dr. Jinyi Guo, who spearheaded the company’s turnaround and ”new retail” vision post-2020. Rather than focusing merely on traditional retail expansion, this leadership operates with a tech-startup mindset, prioritising data infrastructure, digital transformation, and rapid, algorithmic decision-making over conventional managerial intuition.

How do you put Leadership into Practice?

Leaders establish the corporate mission (”to create lucky moments and inspire”) and vision (”to build a world-class coffee brand”) by enforcing an uncompromising mobile-first strategy. They put this into practice by standardising operations across 31,048 stores (as of FY2025) entirely through technology—such as mandatory app-based ordering and automated inventory replenishment. Strategic communication is executed via digital dashboards, ensuring regional managers act on real-time operational data rather than delayed reports.

How do you review and improve your leadership?

The leadership team continuously reviews its strategy through rigorous data analytics, tracking key metrics like store-level profitability and customer retention rates. Crucially, following the 2020 accounting irregularities, leadership implemented enhanced corporate governance structures, independent board oversight, and strict compliance auditing. These reviews shifted the leadership focus from aggressive, cash-burning expansion to sustainable profitability, resulting in an operating margin of 10.3% in FY2025.

2. People

Why People?

Luckin’s people include store managers, baristas, supply chain workers, and IT developers. In a highly standardised operational environment, store staff are critical for executing the final steps of product delivery and maintaining hygiene standards, while the tech personnel are essential for maintaining the digital backbone that dictates the company’s efficiency.

How do you manage, develop and involve the People?

Management is largely system-driven. Store staff use digital modules on the Luckin app for daily training, recipe memorisation, and operational standard operating procedures (SOPs). The company plans and manages its workforce using data-driven scheduling, which adjusts staffing levels based on predictive demand models. Rewards and recognition are directly tied to objective performance metrics (e.g., order fulfilment times and customer feedback) captured by the system.

How do you review and improve your people management?
Review is conducted through continuous performance monitoring via the store management system. Compliance rates, training completion speeds, and error rates are analysed to update training modules. This creates a tight feedback loop where management can swiftly correct operational inefficiencies by pushing new digital training protocols.

3. Policy & Strategy

How do you know who your Stakeholders are and their expectations?
Key stakeholders include customers, partnership-store operators (franchisees), suppliers, technology partners, and investors. Expectations are identified through mass digital interactions: customer feedback via the app, supply chain reliability metrics, and investor demands for sustainable profitability and strict corporate governance.

What information, from what sources, do you use to help inform your future direction?
The primary source of strategic information is the company's proprietary big data platform. Every transaction, including ordering time, location, preference, and pickup/delivery choice, feeds into analytics engines. This consumption data, combined with macro-economic retail trends, informs expansion strategies, product innovation (e.g., launching new seasonal flavours), and pricing adjustments.

How do you develop, review, and update your plans for the future?
Plans are developed iteratively using A/B testing and localized pilot launches. For example, Luckin tests new product concepts (like their highly successful Coconut Latte series) in select regions, gathers immediate sales data via the app, and rapidly scales successful SKUs nationwide. Furthermore, the strategic shift to expand via 10,814 ”partnership stores” in lower-tier cities (while keeping 20,234 self-operated stores in Tier-1/2 cities) was a direct result of data reviews indicating a need for an asset-light model in less dense markets.

How are your plans communicated and implemented?
Strategic plans are embedded into the operational software. When a new product is launched, supply chains are automatically adjusted, and baristas receive the new recipe and training modules directly through their store terminals.

4. Partnerships & Resources

What do we mean by Partnerships? / How do I decide who could be a good Partner?
Partnerships involve external entities that provide critical capabilities Luckin does not build in-house. Good partners are selected based on technological compatibility and scale. For instance, Tencent (WeChat) is a key partner for user acquisition and digital payments; third-party delivery platforms (like Meituan) are selected for last-mile logistics efficiency.

What about my current suppliers, where do they fit?
Suppliers (of coffee beans, milk, syrups, and packaging) are deeply integrated into Luckin's supply chain. The company actively manages this by investing in its own roasting plants and building direct relationships with global coffee growers (e.g., in Brazil and Yunnan) to guar-

antee quality and stable pricing.

What are the benefits of adopting a Partnership approach?
Partnering allows Luckin to remain asset-light in certain areas. Relying on WeChat's ecosystem reduces app development and user acquisition costs; working with partnership-store operators accelerates geographic expansion while sharing capital expenditure risks.

What do we mean by Resources? / How do you manage your finances, buildings, equipment, technology?
Resources encompass financial capital, roasting facilities (in Fujian, Jiangsu, and Yunnan), a network of over 31,000 stores, IoT-enabled coffee machines, and proprietary IT infrastructure. Finances are strictly managed to balance growth with profitability, transitioning from early heavy subsidization to disciplined cost management in marketing and rent. Buildings (store spaces) are deliberately kept minimal (predominantly pickup kiosks rather than large dine-in cafes) to minimise real estate overhead. Equipment is heavily automated, using smart coffee machines to guarantee a standardised extraction process regardless of barista experience. Technology is the core resource: Luckin treats customer data, cloud infrastructure, and AI forecasting algorithms as its central assets, using them to dictate everything from precise site selection to predictive inventory replenishment.

5. Processes

What do we mean by Processes? / How do I identify my Key Processes?
Processes are the end-to-end workflows that deliver value. For Luckin, key processes include digital order capture, demand forecasting, procurement, store-level fulfilment, and delivery routing. These are identified by mapping the customer journey from opening the app to receiving the coffee.

How do you Manage and Review your Processes?
Processes are managed through algorithmic automation rather than manual oversight. If a store is overwhelmed, the app dynamically routes nearby orders or extends estimated wait times. Process reviews occur continuously: data analytics teams monitor system uptimes, fulfilment accuracy, and waste rates, tweaking algorithms and store procedures to eliminate bottlenecks.

1.2 Results

6. Customer Results

Why are Customer Results Important?
Customer results validate the core value proposition of convenience and affordability. Without high frequency and retention, the low-margin, high-volume model collapses.

What are you Measuring and Reporting? / Presenting the Results?
Luckin measures specific digital metrics including monthly average transacting customers (which reached 94.2 million in FY2025), active membership users, app transaction success rates, and average pickup/delivery times. These metrics are dynamically reported through internal dashboards using graphical representations (e.g., heatmaps of store-level demand, trend lines of active user acquisition) to continuously inform regional managers of shifting customer

behaviour and satisfaction levels.

7. People Results

Why are People Results important?

In a highly standardised system, high employee turnover or poor compliance directly impacts product consistency and customer wait times.

How do you Measure, Report, and Act on People Results?

The company tracks training module completion rates, standard operating procedure (SOP) audit scores, and employee productivity (orders processed per hour). These results are used to adjust digital training materials and form the basis for store manager evaluations and performance-linked compensation.

8. Society Results

Why are Society Results Important?

For a company recovering from a significant financial crisis, society results—specifically corporate governance, transparency, and sustainable practices—are essential for restoring brand reputation and securing long-term investor and regulatory confidence.

How are you Communicating the Results?

Luckin communicates its societal and governance impact heavily through annual Environmental, Social, and Governance (ESG) reports and its Form 20-F filings to the U.S. SEC. It transparently highlights the sweeping internal control reforms implemented after the 2020 scandal to reassure regulators and the public. Furthermore, it communicates agricultural and ecological initiatives, such as its direct procurement of sustainable coffee beans from Yunnan, China, thereby supporting local agricultural economies while reducing carbon footprints associated with long-haul imports.

9. Key Performance Results

What do we mean by Key Performance Result? / Scope and Segmentation?

These are the ultimate financial and operational outcomes of Luckin's strategy. The scope includes total net revenue (RMB 49.3 billion for FY2025), operating income (RMB 5.1 billion), and total store count (31,048). These results are segmented by store type: self-operated stores (RMB 36.2 billion) versus partnership stores (RMB 11.6 billion).

How do you Measure, Report, and Improve?

Financial and operational data is captured seamlessly via the central ERP and digital point-of-sale systems, forming the basis of the company's quarterly earnings reports. A culture of granular measurement is deeply embedded; every store manager tracks their specific P&L and operational KPIs daily. Luckin improves these results by deploying algorithmic analytics to identify underperforming locations for closure or relocation, precision-targeting marketing subsidies, and streamlining supply chain operations to defend its 10.3% operating margin.